

Investing in a Postrecession World

Despite the prevailing sentiment in the investment community that our economy is poised for growth, many investors remain sensitive to the previous threats to the investment market's stability. In fact, some have reduced their equity exposure to levels that will produce negative returns after inflation, and have withdrawn from publicly traded markets entirely. The CPI is measuring inflation at about a 3 percent annual rate in early 2012, while a one-year CD is yielding about 0.34 percent. A one-year Treasury bill is yielding a minuscule 0.17 percent.

If you are planning to retire on your accumulated assets (or assets you are still accumulating), you should consider getting involved in the equities market, and doing so soon. The global equities markets work and you have every right to reap the positive returns they produce. Remember, as someone in your twenties and thirties, time is on your side.

Motivated by fear and greed, the typical investor always seems to buy when prices are too high and sell when prices are too low. When you go to the supermarket and see a bottle of soda that usually sells for \$2.99 on sale for \$1.99, you know that that is the time to buy. Yet, when investments are "marked down" or are "on sale" the typical investor runs away. According to research reports, over the past twenty years, the average equity investor has earned about 2.5 percent annually, while the S&P 500 Index has posted a gain in the double digits. This study shows the reactive nature of current investors and exactly how much their emotions cost them in the long run.

As investors slowly emerge from the fear-induced behavior of the Great Recession, it is important to revisit the principles that have produced excellent risk and inflation-adjusted returns in the past, such as practicing wise asset allocation and portfolio diversity. When investors start following these important principles once again, they will be ready to re-enter the global capital markets.